

PERSONAL PORTFOLIO JOURNAL · REVIEW 04

Capital Research Review 04

Weeks 13-16: Stronger Decisions, Larger Swings and the Cost of Using My Cash

PERIOD SNAPSHOT

PERIOD END	PERIOD HIGH	CASH BALANCE
~£1,981	£2,055.86	£40.07

The past four weeks have been the most active period of the portfolio so far. I traded Microsoft, re-entered Alphabet, sold ASML for a strong profit, added to gold, bought SpaceX, increased Symbotic and introduced Pershing Square Holdings.

The account also moved from slightly above its starting value to its highest recorded level and then fell back below the starting line within the space of one week. That movement has reminded me how quickly confidence can grow when investments are rising and how quickly the same portfolio can make those gains feel irrelevant.

Despite finishing the period around £1,981, I think several of the decisions made during these weeks were good. However, I have also used most of the cash I spent the previous month building.

That is now the main issue I need to address.

Returning Above the Starting Value

The portfolio began this period by increasing from £1,983.39 to approximately £2,007. That put the account around £8 above the original starting value.

The gain was not large, but returning above the starting point was still encouraging. The portfolio had experienced a meaningful drawdown, recovered, raised cash and then moved back into positive territory.

At that stage, the cash balance was approximately £261.19. I was still waiting for Alphabet to return towards the price I wanted. My preferred range was around \$360 to \$365, and I did not want to use the entire cash balance at once.

I also made a short Microsoft trade. I invested approximately £140 in Microsoft because it was one of the few enormous technology companies whose share price had been relatively weak over the previous year.

Compared with some of the more aggressively valued technology companies, Microsoft appeared to offer a better balance between quality and risk.

The trade worked, and I sold the full position for a profit of approximately 10%. Financially, that was a strong result over a very short period.

However, I made an important mistake in the way I documented it. I had not properly written about the Microsoft purchase when I made it. I only explained the trade after it had already been closed successfully.

That is not how this journal is supposed to work. The purpose of the website is not to create a record where every decision appears sensible in hindsight. It is supposed to document the reasoning while the outcome remains uncertain.

A profitable trade can still expose a weakness in my process. Going forward, significant decisions need to be recorded when they happen, regardless of whether I feel confident that they will work.

Following the Alphabet Plan

The following week was active. The portfolio reached approximately £2,023 during the stronger part of the week before pulling back towards £1,979.98 on the working valuation.

Despite the weaker ending, I was pleased with the decisions I made. I re-entered Alphabet at approximately \$359.90. This mattered because it followed the plan I had set during the previous weeks. I had sold Alphabet, raised cash and said I would reconsider the company if the price returned towards \$360 to \$365.

When it reached that area, I bought it again. I did not chase the share price immediately after selling. I waited for the entry I wanted and then acted. Whether the investment rises immediately is less important than the fact that the decision followed a clear process.

I also sold the entire ASML position and realised a profit of £40.59. The position had risen by approximately 30%.

ASML remains one of the most important companies in the semiconductor industry. Selling it was not a statement that the company had become bad. I believed the position had produced a strong enough return to justify taking the profit and improving the portfolio's flexibility.

I do not want to become afraid of selling a great business. There is a difference between trading high-quality companies randomly and taking a considered profit after a meaningful rise.

At the same time, I need to be careful that taking profits does not repeatedly leave me without exposure to the best businesses. That is the difficult part of portfolio management. There is rarely a perfect answer.

I also bought one additional share of SGLN. Gold was down by approximately 14%, and I wanted to strengthen the hedge while broader markets appeared increasingly expensive.

I did not want to keep averaging down indefinitely. One additional share felt reasonable, but the position still needed to remain within a sensible size.

After these decisions, the cash balance was approximately £283.65. I had more flexibility than at any previous point in the portfolio.

Buying SpaceX

The fifteenth week produced the strongest account value so far. The portfolio reached £2,055.86, placing it £56.86 above the original starting capital. That represented a return of approximately 2.84%.

The most important new investment was SpaceX. I bought one share because I genuinely believe SpaceX could become one of the most important companies in the world. Its position across space launch, satellites and communications creates opportunities that are difficult to compare with a normal public company.

I also wanted exposure as early as I reasonably could. I understood that it was speculative. The share could easily have fallen immediately after I bought it, and the valuation could be difficult to justify using traditional measures.

Instead, the investment initially rose by more than 30% and became the largest positive contributor in the account almost immediately.

That was exciting, but I tried not to confuse the early gain with proof that the investment was guaranteed to succeed. A new and highly volatile position can move sharply in either direction. The fact that it rose after I bought it did not suddenly remove the risk.

QQQA and VUAG were also among the strongest investments. QQQA was up approximately 24%, while VUAG was up almost 12%. These positions had quietly become two of the most successful parts of the portfolio.

That reinforced the value of broad-market exposure. I spend much more time thinking about individual companies, but the ETFs have produced strong returns without requiring me to correctly analyse every business inside them.

Airbnb, Berkshire Hathaway and Alphabet were also positive. Several positions remained under pressure, though. Gold was the largest unrealised cash loss, down approximately £49. Rheinmetall was down around 28%, while Meta and Symbotic were also negative.

I increased the Symbotic position to average down and strengthen my exposure to robotics and automation. I still believed in the long-term theme, but I knew that I could not continue adding simply because the share price was falling. At some point, Symbotic needed to prove the investment case through its own execution.

Averaging down only works when the original analysis remains correct. Otherwise, it increases the size of the mistake.

How Quickly the Picture Changed

The sixteenth week reversed much of the previous progress. The account fell from £2,055.86 to approximately £1,981, a decline of around £74.86. That placed the portfolio approximately £18 below the original starting capital again.

SpaceX was the main reason for the change. The investment moved from being more than 30% up to being slightly negative in a very short period.

Naturally, it would have been satisfying to sell near the high and buy it back after the decline. However, that was not the reason I purchased the company. I bought SpaceX as a long-term position, not simply as a quick trade based on its first few days of price movement.

The pullback did not change my view of the company, but it did remind me that an unrealised gain can disappear far more quickly than it was created. I need to avoid mentally spending profits that have not been realised.

The main new investment during the week was Pershing Square Holdings. I bought two shares at 3,922p each, for a total cost of £78.44.

The main attraction was the discount to net asset value. My understanding is that I am receiving exposure to Pershing Square's underlying investments at a lower price than the stated value of those holdings.

I have also followed Bill Ackman for years and respect his willingness to make concentrated investments when he believes the opportunity is strong. Pershing Square gives the portfolio exposure to an investor-led strategy rather than another company selected entirely by me.

I see it as a potential long-term compounder. I am not expecting it to create the type of immediate movement I saw from SpaceX. The purpose is to own a vehicle that can potentially compound capital over many years while giving me access to a different investment approach.

The Cash Problem

After purchasing Pershing Square, the cash balance fell to approximately £40.07. That is the clearest problem at the end of this period.

I like the companies and assets I bought. Alphabet followed the entry plan, ASML produced a strong realised profit, SpaceX gives me exposure to a business I have wanted to own, and Pershing Square adds a different type of long-term investment.

However, using the cash means I have lost most of the flexibility that I deliberately created. Cash gave me the ability to wait for Alphabet. It allowed me to buy Microsoft and consider SpaceX and Pershing Square without first selling an existing holding.

Now, if a genuinely exceptional opportunity appears, I have very little available capital. I would either need to add new money or sell something else.

That is not necessarily disastrous. A portfolio exists to be invested, and holding too much cash indefinitely can also reduce returns. The issue is that I moved from approximately £284 in cash to around £40 very quickly.

I need to become more deliberate about how many new ideas I introduce within the same period.

What These Four Weeks Have Taught Me

The first lesson is that good results can hide weaknesses in the process. The Microsoft trade was profitable, but I failed to record it properly when I made it. SpaceX initially rose by more than 30%, but that early gain did not mean the position was safe.

The outcome and the quality of the process are connected, but they are not the same thing.

The second lesson is that unrealised profits are temporary until they are taken. I do not regret holding SpaceX through the pullback because I bought it with a long-term view. However, the movement from a large gain to a small loss showed how quickly the appearance of the portfolio can change.

The third lesson is that every new investment has an opportunity cost. Buying Pershing Square did not only add Pershing Square to the portfolio. It also reduced the cash available for every other future opportunity.

That does not make the purchase wrong. It means I need to consider the loss of flexibility as part of the decision.

The fourth lesson is that I need to avoid endlessly averaging down. Gold, Rheinmetall and Symbotic have all tested my willingness to remain patient. There may be good long-term arguments for each, but I cannot allow the fact that a position is red to become the main reason I keep adding.

New capital should go towards the best opportunity available, not automatically towards whichever holding has fallen the most.

At the end of these four weeks, the account is slightly below its original starting value. That result does not fully reflect what happened during the period. I realised profits in Microsoft and ASML, returned to Alphabet at the price I had planned, reached the highest portfolio value so far and introduced two new long-term investments.

I also watched a large SpaceX gain disappear and reduced my cash to approximately £40.

The portfolio is becoming more interesting, but it is also becoming more complicated. My immediate priority is not to introduce another new idea. It is to rebuild some cash, review the role of every existing position and make sure the account remains consistent with my original objective.

That objective is capital preservation first, followed by sensible long-term growth.

A strong week should not make me careless, and a weak week should not make me emotional. The quality of the portfolio will be determined by whether I can remember both.